ContractLens MAS — Comparative Synthesis Report

NEC Douglas D07 - Alternative lift in an accepted revised Activity Schedule

Generated: 2026-07-07T15:27:07+08:00
Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

The Scope prepared by the Client specifies a lift with a required performance. The Contractor can buy a cheaper alternative lift that does not meet the required performance. The Contractor includes the alternative lift in a revised Activity Schedule accepted by the Project Manager. When the alternative lift arrives on Site, the Project Manager instructs the Contractor to comply with the contract, and the Contractor notifies a compensation event for significant additional cost and delay.

Topic

Alternative lift in an accepted revised Activity Schedule.

Questions

Is the Contractor entitled to a compensation event and how might the Contractor reduce the impact? Explain your reasoning.

Query Plan

L1 — Spirit / Philosophy: How does the contract's governance philosophy allocate responsibility for contractor-selected methods while encouraging collaborative risk reduction when an alternative lifting arrangement appears in an accepted revised activity schedule or programme?
L2 — Clause-level Provisions: Which clauses determine whether acceptance of a revised activity schedule or programme gives rise to a compensation event, variation, time adjustment, or price adjustment, and what notices, quotations, assessments, or mitigation duties apply?
L3 — Practice Implications: In practice, how should the Contractor act to preserve any entitlement while reducing the cost, delay, and disruption caused by adopting or responding to an alternative lift?
Canonical topic: compensation_event_notification_quotation_assessment

Anchor Clauses

GCC: —
NEC4: cl. 14.1, cl. 55.1, cl. 60.1(1)

Comparative Synthesis

> **Executive summary —** Both contracts bar relief merely because an alternative lift appears in an accepted revised schedule or programme; relief depends on a formal GCC variation/claim or a valid NEC compensation event. GCC is Engineer-led and retrospective; NEC is collaborative and prospective, so the Contractor must notify early, evidence mitigation, and separate chosen methods from compensable events.

1. Spirit / Philosophy — Method risk stays with Contractor.

GCC: The GCC is Engineer-led, claims-oriented, and formal-instruction based. An alternative lift shown in a revised Programme remains the Contractor's method unless the Engineer issues a formal written variation or an underlying compensable event is proved through notice, particulars, and records. In TCE terms, it relies on fixed risk allocation and ex post verification to control opportunism.

NEC: NEC4 ECC also keeps contractor-selected methods at the Contractor's risk, but administers the issue through relational, process-based governance. The parties act in mutual trust and co-operation under cl. 10.2, use early warning under cl. 15.1, and assess valid compensation events prospectively through quotations and Accepted Programme effects. TCE-wise, it reduces transaction costs through structured collaboration rather than retrospective claim filtering.

2. GCC Position (Implementation) — Accepted programme is not a variation.

Implementation flow:

1. Contractor evaluates alternative lift as method optimisation or delay mitigation (Clause 50(2) / SCC Clause A4(2)) →
2. Contractor submits revised programme showing alternative lifting sequence (Clause 16(1) / Clause 50(4)) →
3. Engineer approves/examines programme, but acceptance gives no variation, EOT, or liability transfer (Clause 16(2); SCC Clause A1(8)(b)) →
4. If compensable Employer-risk event exists, Contractor gives delay notice within 28 days of cause arising, or as soon as reasonably foreseeable for delaying instruction (Clause 50(1)(a)) →
5. Contractor gives payment-claim notice within 28 days after the happening of the event and keeps contemporary records (Clause 64(2); Clause 64(3)) →
6. Contractor submits particulars/account; Engineer assesses EOT, disturbance Cost, or formal variation value (Clause 50(3); Clause 64; Clause 63; Clause 61).

The GCC corpus is silent on "activity schedule", "Prices", "compensation event", "Scope", "Works Information", "quotation", "early warning", and "risk reduction procedures". Planning is by Programme under Clause 16; value is by Bills of Quantities or Schedule of Rates; time/cost adjustments are through Variations under Clauses 60/61 and claims for Disturbance or Extension of Time under Clauses 50, 63, and 64.

If the Contractor includes an alternative lift in a revised programme, acceptance does not alter obligations, transfer method responsibility, or change Completion Date or Key Dates. Clause 16(2) states that "The submission to the Engineer of such programme, or revised programme... or the furnishing of such particulars shall not relieve the Contractor of any duty or responsibility under the Contract." SCC Clause A1(8)(b) reinforces this for Mega Projects.

An accepted revised programme is not a variation. Clause 60(2) provides: "No variation shall be made by the Contractor without an order in writing by the Engineer." Therefore, inserting the lift into a programme and obtaining approval does not bypass the need for a formal written variation order and does not bind the Employer to additional costs. Clause 60(1) frames Variations; Clause 61 values work as a Variation only where the formal written order was previously issued.

If the alternative lift is used to recover time or mitigate delay, it is treated as performance of the Contractor's mitigation duty. Clause 50(2), expanded in Mega Projects by SCC Clause A4(2), requires the Contractor to "use and continue to use all reasonable endeavours to avoid or reduce the effects of a cause of delay to the progress of the Works."

To preserve relief for an underlying Employer-risk event, the Contractor must give written notice of the cause and probable extent of delay within 28 days of the cause arising under Clause 50(1)(a); the foresight proviso requires notice "as soon as the Contractor can reasonably foresee" that an instruction will cause delay. The

Contractor must also give written notice of intention to claim additional payment within 28 days after the happening of the event under Clause 64(2), keep “such contemporary records as may reasonably be necessary to support any claim” under Clause 64(3), submit detailed delay particulars under Clause 50(3), and submit the financial claim account under Clause 64. The Engineer then assesses EOT under Clause 50(3), ascertains actual “Cost incurred” for disturbance under Clause 63, or values a formally ordered Variation under Clause 61.

3. NEC4 Position (Implementation) — Accepted Activity Schedule is not relief.

Implementation flow:

1. Contractor gives early warning as soon as aware that risk/alternative lift could increase Prices or delay Completion (cl. 15.1) →
2. If Scope constraint/design must change, Contractor proposes change to Project Manager (cl. 16.1) →
3. If accepted, Project Manager instructs Scope change (cl. 14.3; cl. 16.2) →
4. If Contractor-requested design Scope change, Project Manager treats it as not a compensation event (cl. 60.1(1)) →
5. Contractor submits revised programme and revised Activity Schedule for acceptance/alignment (cl. 31.3; cl. 32.1; cl. 55.3) →
6. If lift mitigates valid compensation event, Contractor submits quotation; PM may state assumptions if effects too uncertain (cl. 62.2; cl. 63.9; cl. 61.6).

NEC4 ECC separates acceptance of planning/commercial submissions from changes to liability and risk allocation, administered in mutual trust and co-operation under cl. 10.2. The expert also cited cl. 11.2(1) among the relevant clause references.

The Activity Schedule is a pricing document; information in it is not Scope or Site Information under cl. 55.1. If the Contractor changes a planned method of working at its discretion, such as introducing an alternative lift, so that Activity Schedule activities no longer relate to operations on the Accepted Programme, the Contractor must submit a revised Activity Schedule to the Project Manager for acceptance under cl. 55.3. Programme administration also involves cl. 31.3 and a revised programme showing the new sequence and resources under cl. 32.1.

Acceptance does not transfer responsibility. Under cl. 14.1, the Project Manager’s acceptance of a revised programme or Activity Schedule does not change the Contractor’s responsibility to Provide the Works or liability for design. Acceptance of a document showing the alternative lift therefore does not transfer risk, cost, or liability to the Client.

If the alternative lift is purely a Contractor change in sequence, method, or resources to Provide the Works, it is not a compensation event. The total of the Prices must not change in the revised Activity Schedule; rejection is mandatory if the total of the Prices is changed by the Contractor’s discretionary method change under cl. 55.4.

If the lift requires a Scope change, such as relaxing a specified constraint or altering permanent works design, the Contractor may propose it under cl. 16.1. If the Project Manager accepts, the PM gives an instruction changing the Scope under cl. 14.3 and cl. 16.2. However, cl. 60.1(1) expressly excludes from compensation events a change to the Scope provided by the Contractor for its design made at the Contractor’s request. The Contractor is therefore not entitled to extra payment or an extension of the Completion Date for an alternative lift it proposed.

If the lift mitigates a pre-existing valid compensation event, the Contractor must demonstrate this in the quotation. Under cl. 62.2, the quotation comprises proposed changes to the Prices, delay to the Completion Date, and alterations to the Accepted Programme. Under cl. 63.9, assessment assumes the Contractor reacts competently and promptly and that time and Defined Cost are reasonably incurred. If effects are too uncertain to

forecast reasonably, the Project Manager may state assumptions under cl. 61.6.

4. Behavioural Implications — Claims records become live risk tools.

The two regimes push different behaviours around the same commercial boundary: acceptance of a planning or pricing document is not entitlement. Under GCC, the Contractor protects position through formal notices, detailed particulars, and records. The Engineer then filters entitlement retrospectively: was there a written variation order under Clause 60(2), was delay notified within 28 days under Clause 50(1)(a), was payment intent notified within 28 days under Clause 64(2), and are contemporary records sufficient under Clause 64(3)? The incentive is defensive discipline: do the lift if it is a reasonable endeavour to reduce delay under Clause 50(2), but do not assume approval of the programme pays for it.

Under NEC4, the Contractor must act earlier. As soon as the need for the alternative lift could increase Prices or delay Completion, the Contractor gives early warning under cl. 15.1. If a Scope change is needed, the Contractor proposes it under cl. 16.1, but must recognise that a Contractor-requested design Scope change is excluded from compensation-event recovery by cl. 60.1(1). The evidence is prospective: revised programme, revised Activity Schedule, and, only for a valid underlying compensation event, a quotation showing Prices, Completion Date delay, Accepted Programme alterations, and reasonably incurred Defined Cost under cl. 62.2 and cl. 63.9. The incentive is collaborative mitigation without converting self-selected methods into Client risk.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Effect of acceptance	No duty relief or EOT by programme acceptance, Clause 16(2).	No liability transfer by acceptance, cl. 14.1.
Pricing document	Bills of Quantities/Schedule of Rates, not Activity Schedule.	Activity Schedule is pricing only, cl. 55.1.
Method change	Alternative lift remains Contractor method absent written order, Clause 60(2).	Discretionary method change cannot change Prices, cl. 55.4.
Notice trigger	Delay/payment notices within 28 days, Clauses 50(1)(a), 64(2).	Early warning as soon as aware, cl. 15.1.
Mitigation	Use reasonable endeavours to reduce delay, Clause 50(2).	Assessment assumes competent prompt reaction, cl. 63.9.
Recovery route	EOT, disturbance Cost, or written Variation, Clauses 50, 63, 61.	Quotation for valid CE only, cl. 62.2.

5. GCC Lessons for NEC Adoption — GCC routines shift earlier under NEC.

Hong Kong practitioners familiar with GCC Clause 50(1)(a) should treat NEC cl. 15.1 as the earlier version of the same risk discipline. Under GCC, the Contractor gives written notice of cause and probable delay within 28 days of the cause arising, or “as soon as the Contractor can reasonably foresee” that an instruction will cause delay. Under NEC, the adjustment is timing and purpose: warn as soon as aware so the risk can be reduced collaboratively, not merely preserved for later EOT assessment.

GCC Clause 16(1), Clause 50(4), and Clause 16(2) programme habits transfer directly to NEC cl. 32.1, cl. 55.3, and cl. 14.1. Practitioners already know that an approved revised programme does not relieve Contractor responsibility; under NEC, the same caution applies to accepted revised programmes and Activity Schedules. The behavioural adjustment is to use these documents to align operations and forecast effects, while keeping method risk separate from entitlement.

GCC Clause 64(3), Clause 50(3), Clause 63, and Clause 64 claim routines transfer to NEC cl. 62.2 and cl. 63.9. Contemporary records of labour, plant, time, disruption, and cost remain essential, but they support a prospective quotation showing changes to Prices, Completion Date, and the Accepted Programme, and proving Defined Cost and time are reasonably incurred after competent, prompt mitigation.

GCC Clause 60(2) and Clause 61 variation discipline maps to NEC cl. 16.1, cl. 14.3, cl. 16.2, and cl. 60.1(1). The Contractor must still obtain a formal route for Scope change, but must also accept that its own requested design Scope change is not a compensation event. In short, GCC claim, record, variation, and delay-analysis habits remain valuable, but NEC requires them earlier for warning, forecasting, mitigation, and commercial management.

GCC practice / experience	Transfers to NEC implementation
Clause 50(1)(a) 28-day delay notice workflow.	Use cl. 15.1 early warning as soon as aware; shift from preservation to prevention.
Clause 16(1)/50(4) revised programme submissions.	Submit cl. 32.1 revised programme; show sequence/resources and forecast Completion effects.
Clause 64(3) contemporary records for claims.	Support cl. 62.2 quotations and cl. 63.9 Defined Cost/time reasonableness.
Clause 60(2)/61 written variation discipline.	Use cl. 16.1 proposal and cl. 14.3/16.2 instruction; note cl. 60.1(1) exclusion.
Clause 50(2) reasonable endeavours mitigation.	Demonstrate competent prompt mitigation under cl. 63.9 before seeking CE recovery.

6. HK-Specific Notes — HK guidance reinforces no bypass.

GCC Hong Kong context: For Mega Project Contracts, the Project Administration Handbook (PAH) Chapter 5, Appendix 5.36 prescribes SCC Clause A1, which strictly governs programme management. SCC Clause A1(8)(b) reinforces Clause 16 by providing that “Approval by the Engineer of a Works Programme in accordance with this Clause 16 shall not relieve the Contractor of any its duties or responsibilities under the Contract nor bind or create any obligation or liability on the part of the Employer nor... entitle the Contractor to an extension of time in relation to such Key Date.” SCC Clause A4(2) explicitly expands the Clause 50(2) mitigation duty in Mega Projects, requiring continued reasonable endeavours to avoid or reduce delay effects.

PAH Chapter 9 maps terminology to avoid importing NEC concepts into GCC administration. It confirms that GCC contracts use “Bills of Quantities / Schedule of Rates” rather than an Activity Schedule or “Prices”, and use “Extension of time, variations, claims” rather than “compensation events”. Works Bureau Technical Circular WB1900 does not address this aspect.

NEC4 Hong Kong Edition / DEVB context: The DEVB Practice Notes give explicit Hong Kong-specific guidance on Contractor-proposed alternative methods. They reiterate that under cl. 60.1(1), a change to the Scope provided by the Contractor for their design and made at their request is explicitly not a compensation event. The Contractor cannot use a revised programme or Activity Schedule to bypass this rule and claim additional money or time for an alternative lift chosen by the Contractor.

For Cost Savings Design or an Innovation and Technology (I&T;) Proposal, the alternative lift must be assessed under the specific standard additional conditions of contract, namely Z clauses such as ACC F3 or ACC F4. For Options A and B, agreed construction cost savings are shared equally, 50:50. For target contracts, Options C and D, the Prices, meaning target cost, remain unchanged and the Contractor’s share of savings is realised

through the pain/gain share mechanism at Completion.

DEVB guidance also emphasises cl. 63.9: the Contractor is obliged to mitigate the effect of a compensation event, including rescheduling work at no cost or inefficiency to himself to optimise planned Completion, before prolongation costs are agreed. If the alternative lift is used as mitigation, it must be demonstrated as reasonable mitigation rather than treated as an automatic compensation event.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 1.00
Iterations used: 1
Rule-based track: pass

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	1.00	≥ 0.85	pass
Composite Confidence	1.00	≥ 0.70	pass

NEC4 anchors covered: cl. 14.1, cl. 55.1, cl. 60.1(1)

LLM Semantic Validation (Track 2)

Track verdict: pass
Severity: minor
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

No semantic issues raised.